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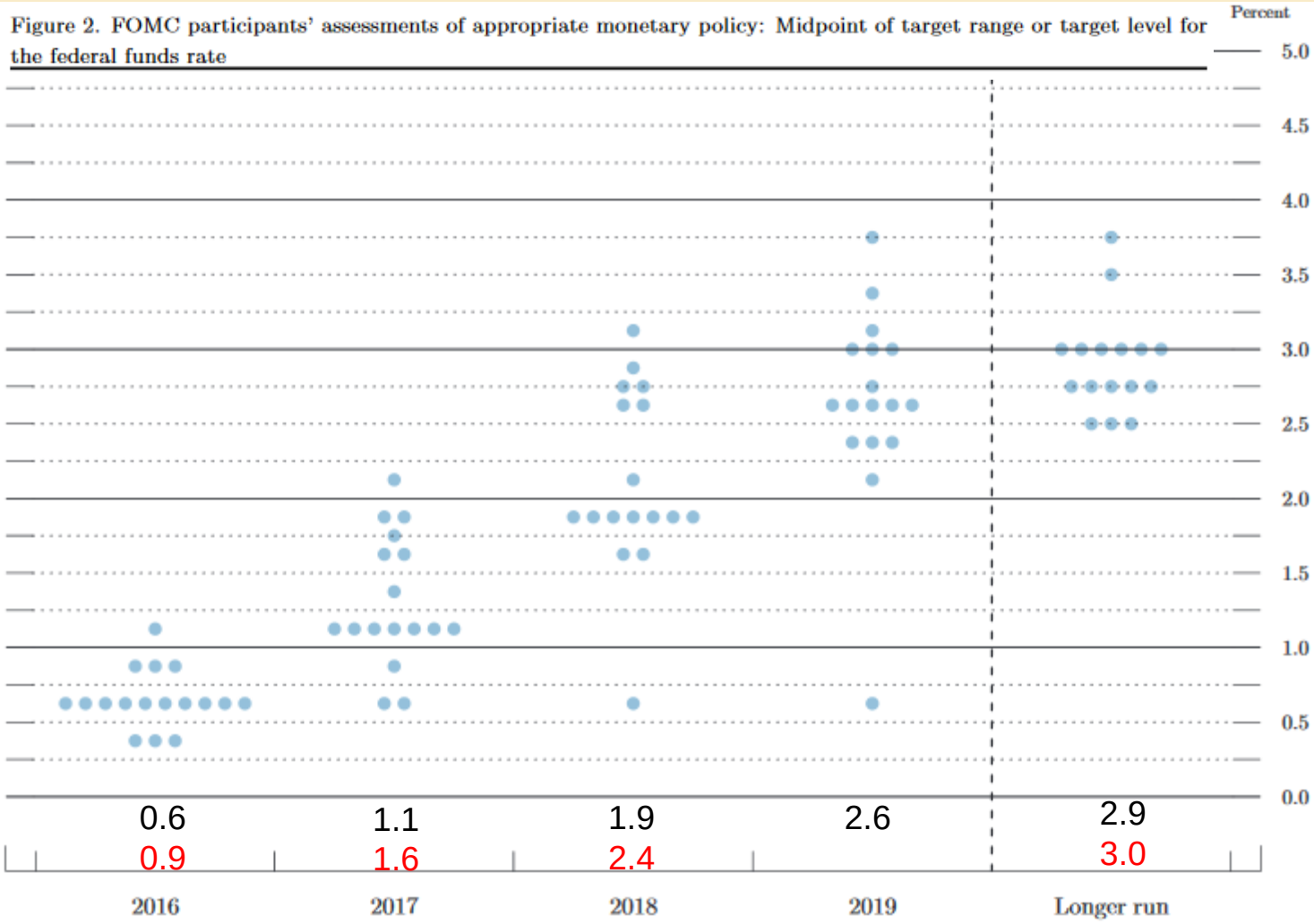
Figure 2. FOMC participants' assessments of appropriate monetary policy: Midpoint of target range or target level for the federal funds rate



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**Economic projections of Federal Reserve Board members and Federal Reserve Bank presidents under their individual assessments of projected appropriate monetary policy, September 2016**

Advance release of table 1 of the Summary of Economic Projections to be released with the FOMC minutes

Percent

| Variable | Median[1] | | | | | Central tendency[2] | | | | | Range[3] | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2016 | 2017 | 2018 | 2019 | Longer run | 2016 | 2017 | 2018 | 2019 | Longer run | 2016 | 2017 | 2018 | 2019 | Longer run |
| Change in real GDP | 1.8 | 2.0 | 2.0 | 1.8 | 1.8 | 1.7 – 1.9 | 1.9 – 2.2 | 1.8 – 2.1 | 1.7 – 2.0 | 1.7 – 2.0 | 1.7 – 2.0 | 1.6 – 2.5 | 1.5 – 2.3 | 1.6 – 2.2 | 1.6 – 2.2 |
| June projection | 2.0 | 2.0 | 2.0 | n.a. | 2.0 | 1.9 – 2.0 | 1.9 – 2.2 | 1.8 – 2.1 | n.a. | 1.8 – 2.0 | 1.8 – 2.2 | 1.6 – 2.4 | 1.5 – 2.2 | n.a. | 1.6 – 2.4 |
| Unemployment rate | 4.8 | 4.6 | 4.5 | 4.6 | 4.8 | 4.7 – 4.9 | 4.5 – 4.7 | 4.4 – 4.7 | 4.4 – 4.8 | 4.7 – 5.0 | 4.7 – 4.9 | 4.4 – 4.8 | 4.3 – 4.9 | 4.2 – 5.0 | 4.5 – 5.0 |
| June projection | 4.7 | 4.6 | 4.6 | n.a. | 4.8 | 4.6 – 4.8 | 4.5 – 4.7 | 4.4 – 4.8 | n.a. | 4.7 – 5.0 | 4.5 – 4.9 | 4.3 – 4.8 | 4.3 – 5.0 | n.a. | 4.6 – 5.0 |
| PCE inflation | 1.3 | 1.9 | 2.0 | 2.0 | 2.0 | 1.2 – 1.4 | 1.7 – 1.9 | 1.8 – 2.0 | 1.9 – 2.0 | 2.0 | 1.1 – 1.7 | 1.5 – 2.0 | 1.8 – 2.0 | 1.8 – 2.1 | 2.0 |
| June projection | 1.4 | 1.9 | 2.0 | n.a. | 2.0 | 1.3 – 1.7 | 1.7 – 2.0 | 1.9 – 2.0 | n.a. | 2.0 | 1.3 – 2.0 | 1.6 – 2.0 | 1.8 – 2.1 | n.a. | 2.0 |
| Core PCE inflation[4] | 1.7 | 1.8 | 2.0 | 2.0 | | 1.6 – 1.8 | 1.7 – 1.9 | 1.9 – 2.0 | 2.0 | | 1.5 – 2.0 | 1.6 – 2.0 | 1.8 – 2.0 | 1.8 – 2.1 | |
| June projection | 1.7 | 1.9 | 2.0 | n.a. | | 1.6 – 1.8 | 1.7 – 2.0 | 1.9 – 2.0 | n.a. | | 1.3 – 2.0 | 1.6 – 2.0 | 1.8 – 2.1 | n.a. | |
| Memo: Projected appropriate policy path | | | | | | | | | | | | | | | |
| Federal funds rate | 0.6 | 1.1 | 1.9 | 2.6 | 2.9 | 0.6 – 0.9 | 1.1 – 1.8 | 1.9 – 2.8 | 2.4 – 3.0 | 2.8 – 3.0 | 0.4 – 1.1 | 0.6 – 2.1 | 0.6 – 3.1 | 0.6 – 3.8 | 2.5 – 3.8 |
| June projection | 0.9 | 1.6 | 2.4 | n.a. | 3.0 | 0.6 – 0.9 | 1.4 – 1.9 | 2.1 – 2.9 | n.a. | 3.0 – 3.3 | 0.6 – 1.4 | 0.6 – 2.4 | 0.6 – 3.4 | n.a. | 2.8 – 3.8 |

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# Chair the Fed

A game by the Federal Reserve Bank of San Francisco

http://sffed-education.org/chairthefed/default.html

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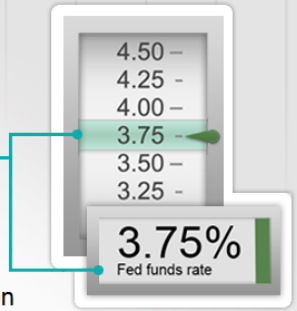
# Chair the Fed: A monetary policy game

## Your Job

The President of the United States has nominated you and the U.S. Senate has confirmed you to serve as the Chair of the Federal Reserve. Your job is to set monetary policy to achieve full employment and low price inflation. Your term will last 4 years (16 quarters).

### Set Monetary Policy:

**Fed funds rate** Adjust this key short-term interest rate to keep the economy on track.




**Press** RAISE to **raise** the fed funds rate or tighten monetary policy, which over time tends to reduce inflation and increase unemployment.

**Press** CUT to **cut** the fed funds rate or loosen monetary policy, which over time tends to boost inflation and lower unemployment.

**Press** GO to **see** your decision affect the economy.

### Watch:

**Unemployment** Keep unemployment close to its natural rate of 5%.

**Inflation** Keep inflation near the Fed's 2% inflation target.

NEWS BRIEF BREAKING NEWS Pay attention to the headlines for information about the economy.

Play Now

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Adjust the fed funds rate below, then press GO.

5.50
5.25
5.00
4.75
4.50
4.25
4.00

RAISE

CUT

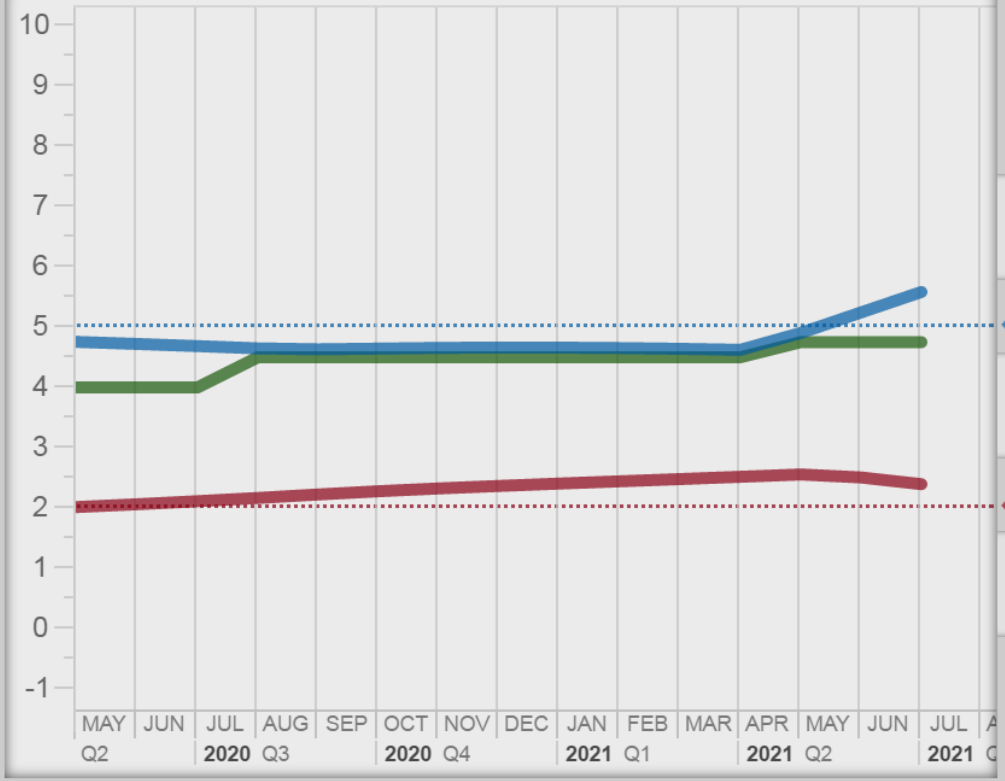
GO

START OVER

BREAKING NEWS

## Financial Market Crisis!

Few new loans for consumers and businesses




12

Quarters remaining in your term

4.75% Fed funds rate

Natural unemployment rate

5.58% Unemployment

Target inflation rate

2.40% Inflation

# Congratulations!

## You have been confirmed for another term as Chair of the Federal Reserve.

**Here are the economic conditions in the final year of your term:**

| | |
|---|---|
| Unemployment rate | 5.13% |
| Inflation rate | 1.30% |

There was an oil crisis during your term.
Play again to guide the economy through a different scenario.

Share with your friends or by Email

Play Again